

Unit-I Indian Industrial Environment – competence, Opportunities and Challenges. Entrepreneurship and Economic growth. Small Scale Industry in India, Objectives, Linkage among small, medium and heavy industries. Types and forms of enterprises.

Indian Industrial Environment Agency Houses introduced new methods of production, new sources of raw materials and new products and markets. These houses entered business, trade, banking in Calcutta, Bombay and Madras. Parsees and Marwaris dominated the business and industry from 1st world war period and 2nd world war period.

1.0 Immediately after our country became independent, Government of India felt the need for developing industries in a planned manner in the national interest. The government adopted an industrial policy 1956 with the objectives of

1. To Accelerate rate of economic growth through speedy industrialization
2. To develop heavy industries and machine building industries
3. To expand the public sector
4. To build up a large and growing cooperative sector
5. To reduce disparities in income and wealth
6. To prevent private monopolies

Main features:

1. Classification of industries in to Schedule A, B and C
2. Sectoral interdependence
3. Role of small-scale and cottage industries
4. Reduction of regional disparities
5. Assistance to private sector
6. Sound industrial relations and incentives for labor
7. Management of public undertakings

Due to the changing conditions, amendments to the industrial policies have been made during 1973, 1977, 1980, 1991, until the recent reforms of 1992-93. In the Indian business scene, many changes have been introduced in the liberalization process of economy which began in 1990 and still continues.

The major changes are:

1. Industrial policy changes
 - Very few industries requiring licenses
 - Liberalizations in FERA
 - Almost no control under MRTP act
 - Role of PSUs getting diluted
 - Liberalizations of foreign direct investment

- More freedom in capital market- abolition of CCI

2. International trade policy changes

- Globalization of economy
- Lowering down of import tariffs
- More items under OGL
- Emphasis on export but not through financial incentives

3. Structural adjustment

- Phasing out of subsidies
- Gradual dismantling of administrative price mechanism
- Public sector disinvestment
- Exit policy for business
- Smother way of merger and acquisition

The present industrial environment in India:

Environment can be broadly classified into the following categories

1. Economic environment
 - Economic system
 - National income and its distribution
 - Monetary policy
 - Fiscal policy
 - Natural resources
 - Infrastructural facilities
 - Raw materials and supplies
 - Plant and equipment
 - Financial facilities
 - Man power and productivity
2. Political-legal environment
 - Political stability
 - Provision various incentives and support
 - Rules and regulations
 - Defense expenditure
3. Technological environment
 - Technology developed within India
 - Import of technology
 - Research & Development facilities
4. Socio-cultural environment
 - Expectations of society from the business

- Attitude towards business
 - Customs , Traditions and conventions
 - Level of education
 - Life style of people
5. Competitive environment
- Industry setting
 - Industry attractiveness
 - Industry structure

Definition of an Entrepreneur: Entrepreneur word is derived from French word *entreprendre* meaning "to undertake". The "Entrepreneur" means a person who organises and manages a business undertaking assuming the risk for the sake of fulfillment of some of his needs. Entrepreneur is a person who isolates purchase and sales Opportunities and exercises his intelligence and overcoming spirit to utilise such opportunities to increase his economic power. Entrepreneur provides the enterprise with resources. According to Noah Webster, Entrepreneur is "One who assumes the risk and management of business". It does not involve wages, rent or interest, routine human efforts (i.e., labor), use of land, provision of capital. According to Higgins 'Entrepreneurship is meant the junctions of seeking investment and production opportunities.

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Entrepreneurs and entrepreneurship Concept: All human beings have an urge to exercise power over other beings and objects. Degree may vary person to person. Entrepreneur is a person who isolates purchase and sales opportunities and exercises his intelligence and overcoming spirit to utilize such opportunities to increase his economic power. He is a person who assumes the risk and management of his business. The representative-ness of human agencies which strive for industrial development and are responsive to the business incentives and motivation, is termed as entrepreneurship. Entrepreneur is the person who provides the Fourth factor of production namely enterprise. The three factors are Labor, land and capital. The fifth factor is Science and technology. The wholesome knowledge of business system will be making an individual a successful entrepreneur

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Classification of entrepreneurs: 1. Innovative entrepreneurs • Aggressive in experimentation • Sees the opportunities for introducing new things • Clever in putting attracting possibilities in to practice 2. Adoptive or imitating entrepreneurs • Ready to adopt successful innovations initiated by others • Imitates techniques and technology • Much suitable to developing countries 3. Fabian entrepreneurs • Show great caution and skepticism in practicing any change • Have neither will to introduce new changes nor desire to adopt new methods • Shy and lazy • Try to follow the footsteps of their predecessors • Follow customs, tradition and past practices 4. Drone entrepreneurs • Refusal to adopt and use opportunities to make changes in production 6 .

• They may suffer losses but do not change production methods They are likely to be pushed out of market because of their uneconomical operations 5. Inheritance 6. Technologist 7. Forced Functions of an entrepreneur:- 1) Innovation 2) Risk-taking 3) Organization and management of business so as to have leadership and control of over.

Entrepreneur distinguished from other functionaries:- 1. Inventor loses to entrepreneur in the sense that inventor invents but cannot exploit economically. 2. Entrepreneur and Speculators - Resembles but differs in originising and introducing innovations. 3. Entrepreneur and inventor : - Entrepreneur exploits the inventions commercially into a business. 4. Entrepreneur and Manager Entrepreneur and other factors of production such as rent of land, wages of labour and interest for capital will always be positive., but the reward of the entrepreneur are -- profit -- can sometimes be negative depending upon the degree/grade of entrepreneurial talents. Entrepreneur (Self-employed) Manager (Paid employee) 1 You are completely independent and free to work according to your wishes. You have to work according to the directions of the employer. 2 You are entitled for the whole profit you make. Your efforts are rewarded proportionately. You get your fixed salary or at the most a small amount of bonus as reward for your work. 3 There is great scope of creativity. You can introduce innovation and changes to improve your earnings. There is always lack of incentives so there is generally lack of enthusiasm.

Qualities of Entrepreneur:— 1. Capacity to assume risks and possessing self confidence. 2. Technological knowledge, alertness to new opportunities, willingness to accept change and ability to imitate 3. Ability to marshal resources — ability to build organisation is perhaps the most precious of all entrepreneurial skills. 4. Ability to organisation and administration. The entrepreneur must have special quality of judgment, perseverance and knowledge of the world as well as of business. He is called upon to estimate, with tolerable accuracy the importance of specific product, the probable amount of demand and the means of its production; at another, buy or order the raw material, collect labourers, find consumer and give at all times a rigid attention to order and economy. 1.1 Competence: • Investment capabilities are enhanced to a great extent • Infrastructural facilities like land, buildings, power, fuel, transport, communication network etc. are vastly improved • Technology can be obtained easily. Various R & D laboratories are available for developing process and products • Skilled labor, technical experts and professional managerial skills are available. • Capability of meeting international quality standards • Governmental support and encouragement

Opportunities: • A number of institutions and organizations are engaged in the development of entrepreneurship. District Industries centre (DIC) Indian investment centre (IIC) Small Industries Development Organization (SIDO) Small Industries Service Institutes (SISI) National research Development Corporation of India (NRDC) National Small Industries Corporation Ltd. (NSIC) National Alliance of Young Entrepreneurs (NAYE) Technical Consultancy Organizations (TCO) APITCO, KITCO etc. • A number of financial institutions are assisting the entrepreneurs in meeting their capital requirements. State Financial Corporations (SFCs) IDBI, IFCI, ICICI, etc. • Availability of highly skilled labor, Engineers, managerial experts • Large population creating vast and diversified market • Government support and encouragement by way of incentives and

subsidies. • Availability of research and development laboratories both in public and private sector. CSIR, CITD, CIPET, ETDC, ERTL etc. • Availability of Communication network and Information technology • Availability of land, Industrial estates and infrastructural facilities

1.3 Challenges: • Competing in the global market both in terms of quality and cost of production • Concentration .

Challenges: • Competing in the global market both in terms of quality and cost of production • Concentration on promising areas ensuring high quality, attractive packaging, acceptable delivery, adequacy of supplies, strong home market • Increasing the capacity of borrowing on commercial terms. (Increasing credit worthiness) • Emphasis on knowledge management • Acquiring high technology and improved processes and constant updatin.

Entrepreneurship and Economic growth: Entrepreneurship is a creative activity or an innovative function and can be seen in the form of 1. Introduction of a new product 2. Use of new method of production 3. Opening a new market 4. Conquest of new source of supply of raw materials 5. New form of organization

All these factors are contributive to the economic growth. Entrepreneur acts as an agent of production bringing together all factors of production and providing management and control for the survival and growth of the production unit. Economic development consists of employing resources in a different way, bringing in a new combination of means of production. The entrepreneur looks for ideas and put them into effect for economic development. Economic growth depends on the rate of innovation and the rate of technical progress in the economic field. Entrepreneurs, with high level of achievement, accelerate the process of economic development. Entrepreneurship is a process of creating wealth by bringing together the resources in a new way to start a venture that benefits the customers and rewards the founders. All the developed nations have been benefited from the entrepreneurs in building the economy. Entrepreneurship leads to industrialization which has better linkages to the other sectors of economy like generation of electricity, exploitation of natural resources, network of transport and communication systems, and expansion of markets. Industrial development provides vast employment opportunities. It gives the advantage in international trade. It is an effective instrument to the growth and welfare. Industry being an important component of national income, augments not only the taxable capacity of the people in the country, but also contributes effectively to the revenue by paying more and more direct and indirect taxes which can be used by the government for the welfare of its citizens. Thus the entrepreneurship plays a very important role in accelerating the economic growth.

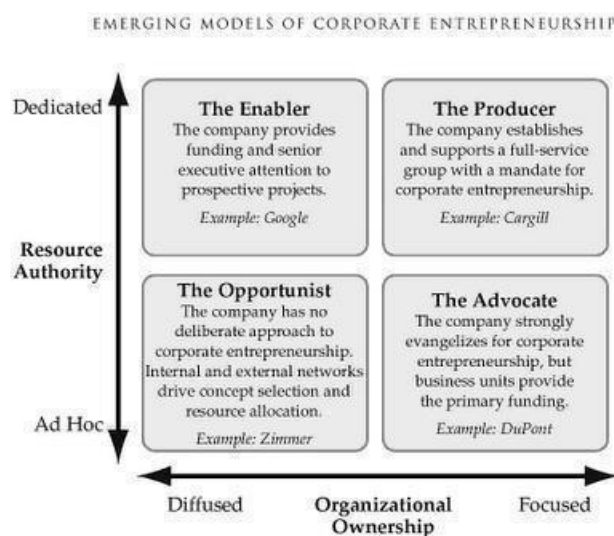


Figure 3-1

What is Entrepreneurial Venture?

Entrepreneurship thrives in many different contexts. There are __social entrepreneurs‘ who create value through successful exploitation of new ideas – leading to social inclusion, regeneration or some other kind of social benefit. There are __creative entrepreneurs‘ who identify, evaluate and then exploit artistic, aesthetic or design-based opportunities.

Entrepreneurship is increasingly important in the environmental field. Entrepreneurship is also very important for the continued development of new technology and associated product and process innovations.

Over the seven steps that make up this programme, we talk about your particular enterprise or entrepreneurial venture as the focus for your thinking, learning, and development. This will often refer to your idea for a specific new business. However, the term enterprise, as we have just seen, can be applied in a wider context. You might be looking to work in a particular industry context, or aiming to launch a social enterprise. This step by step approach is valid in these contexts too.

This programme provides a wide range of advice and guidance to anyone interested in getting a new venture off the ground in whatever context. It aims to assist you in preparing to launch an enterprise, with signposts to other help and support that is available.

LAUNCHING A NEW VENTURE:

STAGES AND STEPS OF THE ENTREPRENEURIAL VENTURE

The entrepreneurial process of launching a new venture can be divided into three key stages of: Discovery; Evaluation; and Implementation. These can be further sub-divided into seven steps as shown below

Identifying opportunities

Analyzing and selecting the opportunity

Launching and developing the enterprise

O P P O R T U N I T Y

DISCOVERY

EVALUATION

IMPLEMENTATION

1. Discovering your entrepreneurial potential
2. Identifying a problem and potential solution
3. Evaluating the idea as a business opportunity
4. Investigating and gathering the resources
5. Forming the enterprise to create value
6. Implementing the entrepreneurial strategy
7. Planning the future

Small Scale Industries in India:

The role of SSI units is significant in overall growth of the economy in our country. 10 • SSIs are especially important in the context to employment potentials, equitable distribution of wealth, balanced regional growth and preservation and development of ancient art and craft. • At present in our country the small scale sector contribute nearly 55% of the total industrial output and 40% of the total exports. • SSI has also achieved a high degree of sophistication and has been making significant progress in quality up gradation and standardization. • Small enterprises are able to successfully adapt to the changing situations and possess creative strength. • SSI has low capital intensity and high labor orientation. • Although the prospects of SSI are plenty, the new industrial policy is hampering their sustained growth in the nineties. The new policy is more favorable to the multinational companies. • The rapid and diversified growth of small-scale units has been contributing to the nation's economic development. **Objectives:** 1. Expanding employment opportunities.

Objectives: 1. Expanding employment opportunities 2. Adoption of modern techniques 3. Dispersal of industries in rural areas 4. Production of consumer goods on large scale 5. Mobilization of local skills and capital 6. Equalitarian distribution of income and wealth widely in society 7. Bring out the latent potentials and skills in the entrepreneurs .

Linkage among small, medium and heavy industries: The relation ship between large scale, medium scale and small scale industries should be mutually beneficial and helping each other rather than competing and conflicting. Large scale industries undertake the

manufacture of much bigger and complex machines or systems which demand high technology involving large number of components and sub-systems. Often it may not be economical and possible to manufacture every item within the organization. These items can be profitably outsourced to either medium or small scale industries. Thus many SSI or ancillary industries can be developed to meet their production requirements. As the overheads of small scale industries are nominal, the cost of production will be much lower compared to the cost of production in the large scale units.

With the guidance and support rendered by the big industries, the quality of the products can be improved to the levels required. If a number of sources are developed for a product, it is possible to increase the quantity of output as required and uninterrupted supplies can be maintained. For the overall economic growth of a nation, the development of all the three sectors is equally essential.

Various reasons for lack of development are:

1. Lack of capital
2. Lack of political unity
3. Network of custom barriers
4. Existence of innumerable systems of currency
5. Regional markets plagued by arbitrary political authority
6. Taxation policies
7. Low prestige of businessmen in the society

Types and Forms of enterprises

Types of enterprises:

1. Service enterprises
 - Consulting agencies
 - Repair shops
 - Professional – doctors, lawyers, engineers, chartered accountants
 - Beauty parlors
 - Carpenters
2. Trading enterprises
 - Provisions shop
 - Medical shops
 - Dealership and agencies
 - Clothes merchants
3. Manufacturing enterprises:
 - a. Sole proprietorship
 - b. Partnership
 - c. Joint stock companies
 - Public limited
 - Private limited
4. Co-operative enterprises

a. Sole Proprietorship: Definitions: It is the form of business organization on the head of which stands an individual as the one who is responsible, who directs its operations, who alone bears the risk of failure. A sole trader is a person who sets up the business with his own resources, manages the business himself employing persons for his help and alone bears all the gains and risks of the business. A sole trader is a person who carries on the business exclusively by and for himself. He is the supreme judge of all matters pertaining to his business subject only to the general laws of the land.

Business entrepreneur :

i. Business entrepreneurs :are those entrepreneurs who conceive the idea of a new product or service and then translate their ideas into reality.

ii. Trading entrepreneur: (Buying -Selling) Such entrepreneurs do not manufacture but purchase the product from the manufacturers and sell it to the customers directly.

iii. Industrial entrepreneur: These entrepreneurs are manufacturers or producers who analyze the current market demands and needs of the consumers and produce goods and services to satisfy them in an efficient manner.

iv. Corporate entrepreneur: Corporate entrepreneur is a person who demonstrates his innovative skill in organizing and managing corporate undertaking. A corporate undertaking is a form of business organization which is registered under some statute or act which gives it a separate legal entity. A trust registered under Trust act or company registered under the companies act is examples of corporate undertakings. A corporate entrepreneur is thus an individual who plans, develops and manages a corporate body.

v. Agricultural entrepreneur (Cultivation): Agricultural entrepreneur is the one who is engaged in the agricultural activities as raising and marketing of crops, fertilizers and other inputs of agriculture.

According to Motivation:

- i. Pure entrepreneur: Pure entrepreneurs are those individuals who are attracted to establish a business enterprise because they are really interested in doing so. That's why they choose this path only for their self-satisfaction. They have a strong desire to become entrepreneurs like Aditya Birla, Dhirubai Ambani.
- ii. Induced entrepreneur: Induced entrepreneurs are those people who get attracted to the incentives, subsidies and facilities offered by the government for entrepreneurship.

According to the Use of Technology :

i. Technical entrepreneur: The strength of a technical entrepreneur is in his skill in production techniques. He concentrates more on production than on marketing.

ii. Non-technical entrepreneur: Unlike technical entrepreneur, non-technical entrepreneur is not concerned with the technical aspect of the product rather he spends more time in developing alternative strategies of the marketing and distribution to promote his business.

iii. Professional entrepreneur: Professional entrepreneurs are those people who start new enterprise but don't run or manage it. They sell their enterprise and proceed with establishment of another such enterprise.

According to stages of Development :

i. First generation entrepreneur: First generation entrepreneur are those entrepreneur who do not possess any entrepreneurial background. A first generation entrepreneur is one who starts an industrial unit by innovative skills. He is essentially an innovator, combining different technologies to produce a marketable product or service.

ii. Second generation entrepreneur: Second generation entrepreneur are those entrepreneurs who inherit the family business firms and pass it from one generation to another. A modern entrepreneur is one who undertakes those ventures which go well along with the changing demand in the market. They undertake those ventures which suit the current marketing needs.

iii. Classical entrepreneur: A classical entrepreneur is a stereotype entrepreneur whose aim is to maximize his economic returns at a level consistent with the survival of the unit but with or without an element of growth.

According to Capital ownership:

i. Private entrepreneur(Self- Capital Investor): When an individual or a group of individuals set up an enterprise, arrange finance, bear the risk and adopt the latest techniques in the business with the intention to earn profits, he or the group is called as private entrepreneur/entrepreneurs.(Achyuta Samanta, Anand Mahindra, Deep Kalra, Gautam Adani)

ii. State entrepreneur(State Own entity): As the name indicates, state entrepreneur means the trading or industrial venture undertaken by the state or the government itself.

iv. Joint entrepreneur(Public, Private & Partnership): Joint entrepreneur means the combination of private entrepreneur and state entrepreneur who join hands.

According to Gender and Age :

i. Man entrepreneur: The male individuals involved in establishing and managing entrepreneurial enterprises are called men entrepreneurs.

ii. Woman entrepreneur: The female individuals involved in establishing and managing entrepreneurial enterprises are called women entrepreneurs.(Vandana Luthra-VLCC, Suchi Mukherjee- Limeroad,

iii. Young entrepreneur: The amount of startups founded by the entrepreneurs under the age of 20 is called young entrepreneurs.(Tilak Mehta)

According to Area :

i. Urban entrepreneur: They belong to urban areas and establish their business in the same location to avail the regional advantages. These types of entrepreneurs are mostly corporate or industrial entrepreneurs.

ii. Rural entrepreneur: Rural entrepreneurs are usually involved in trading or agricultural activities. They belong to rural areas and establish their business in the same location.

According to Scale :

i. Large scale industry entrepreneur (anything above 5 crore)(Tea Industry, Jute Industry, Cement Industry, Sugar Industry, Paper Industry)

ii. Medium scale industry entrepreneur (Medium Scale: above 1crore to below 5 crore)

iii. Small scale industry entrepreneur (Investment from 25 Lakh up to 1 crore on plant and machinery

.

iv. Tiny industry entrepreneur (Less than 25 lakhs)

Characteristics of Sole Proprietorship:

1. Individual initiative
2. Unlimited liability
3. Full managerial control
4. Motivation
5. Secrecy
6. Proprietor and proprietorship are one
7. Owner and business exist together
8. Limited area of operations

b Partnership:

Definitions:

The relation between persons who have agreed to share profits of a business carried on by all or any of them acting for all. - As per Partnership act 1932(sec.4) A partnership firm is a group of two or more persons who have joined capital or services for the prosecution of some enterprise.

Characteristics: 1. Association of two or more persons 8. Utmost good faith 2. Contractual relation 9. Restriction of transfer of shares 3. Earning of profits 10. Common management 4. Existence of business 11. Partners and partnership are one 5. Implied authority 12. Capital contribution 6. Unlimited liability 13. Protection of minority interests 7. Principle and agent relationship 14. Continuity

c. Joint stock company: Definitions: A joint stock company is a voluntary association of individuals for profit having a capital divided into transferable shares, the ownership of which is the condition of membership. A company is an association of many persons who contribute money or money's worth to a common stock and employs it in some trade or business and who share the profit or loss, as the case may be, arising there from. A company means a company formed and registered under the act. – Sec.3 of Indian companies Act-1956 Characteristics:

1. Association of persons
2. Independent legal Entity 7. Perpetual Existence
3. Limited liability 8. Corporate finance
4. Common Seal 9. Centralized and delegated management
5. Transferability of shares
6. Separation of ownership and management
7. Perpetual Existence
8. Corporate finance

9. Centralized and delegated management

10. Publication of Accounts.

Characteristics of an enterprise:

1 People work together primarily for the purpose of making, selling and / or distributing a product or service

2 It consumes other valuable resources to produce the output.

3 It is a continuing entity.

4 It must have enough autonomy for its management to take actions considered appropriate to maintenance or enhance the firm's economic success.

Types of Entrepreneurs:

Based on their working relationship with the business environment they are functioning in, various types of entrepreneurs can be found. The chief categories are these four types of entrepreneurs, i.e.

☐ Innovative entrepreneurs,

☐ Imitating Entrepreneurs,

☐ Fabian Entrepreneurs, and

☐ Drone Entrepreneurs.

Let us now discuss each of them in detail.

Innovative Entrepreneurs : This type of an entrepreneur is more interested in introducing some new ideas into the market, organization or in the nation. They are drawn towards innovations and invest a lot of time and wealth in doing research and development.

Imitating Entrepreneurs: These are often disparagingly referred to as ‘copy cats’. They observe an existing successful system and replicate it in a manner where all the deficiencies of the original business model are addressed and all its efficiencies are retained. These entrepreneurs help to improve an existing product or production process and can offer suggestions to enhance the use of better technology.

Fabian Entrepreneurs: These are entrepreneurs that are very careful in their approaches and cautious in adopting any changes. They are not prone to sudden decisions and try to shy away from any innovations or change that doesn't fit their narrative.

Drone Entrepreneurs: These are entrepreneurs who do not like a change. They are considered as. They want to do business in their own traditional or orthodox methods of production and systems. Such people attach pride and tradition to even outdated methods of doing business.

Roles of an Entrepreneur:

Entrepreneurs fulfill the following three dominant roles:

☐ Economic Change

☐ Social Change

☐ Technological Change